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Family Bank Limited Listing via Introduction

"Debut at a Discount"

Family Bank's Debut Discount

Family Bank Limited will begin trading on the Nairobi Securities Exchange (NSE) tomorrow, 23rd June 2026. ***Our valuation points to a significant discount relative to the introduction price of KES 18.00 per share. Using both a market-based approach and intrinsic valuation, we arrive at a fair value of KES 27.67 per share, implying an upside potential of 53.7%. When combined with the trailing dividend yield of 6.7%, the stock offers a potential total return of 60.4%***

Introduction

Kenya's banking sector is increasingly becoming attractive, particularly to international players seeking exposure to the country's growing economy, strategic trade position, sizeable customer base, and improving infrastructure. This helps explain why international institutions such as Nedbank and Absa Group are actively seeking to increase their stakes in Kenya's leading banks in order to benefit from the sector's promising growth prospects and dividend potential. At the same time, Family Bank's listing comes amid a wave of corporate actions in the capital markets, including corporate bond issuances (*that have been significantly oversubscribed).* The listing will also mark the second major listing on the Main Investment Market Segment following Kenya Pipeline Company (KPC), underscoring the renewed momentum in Kenya's capital markets.

Summary

Family Bank's listing on the Main Market Segment is expected to broaden the Company's shareholder base, enhance liquidity, and improve price discovery as shares begin trading in the secondary market. The Bank has demonstrated strong earnings momentum, with profit after tax growing by 55.4% y/y to KES 5.38 Bn in FY'2025, supported by resilient topline growth that saw net interest income rise by 46.0% y/y to KES 15.63 Bn. This momentum has been sustained into FY'2026, as evidenced by Q1'2026 results, where profit after tax surged 52.6% y/y to KES 1.60 Bn, placing the lender on track for another year of double-digit earnings growth.

The lender boasts a strong retail customer franchise, with a strategic focus on SME banking, and continues to pursue its ambition of attaining Tier I status. Family Bank operates across four key business segments: Micro, Small and Medium Enterprises (MSMEs), Retail Banking, Commercial Banking, and Corporate Banking.

From a corporate structure perspective, the Group comprises three key subsidiaries; i) Family Bank Bancassurance Intermediary Limited (FBBI), a wholly owned subsidiary established in 2012, is licensed and regulated by the Insurance Regulatory Authority (IRA) to conduct bancassurance business, ii) PesaPap Digital Limited (PDL), incorporated in 2015 and wholly owned by Family Bank, focuses on software design, development, and digital financial solutions, iii) The Family Group Foundation, a wholly owned subsidiary of the Bank, is registered under Kenya's Companies Act as a company limited by guarantee and does not have share capital.

Valuation and recommendation

Valuation Summary:	Implied Price	Weighting	Weighted Value
DDM	28.2	25%	7.0
Residual Income	34.7	25%	8.7
PBV Multiple	23.9	25%	6.0
PE Multiple	23.9	25%	6.0
Target Price			**27.67**



Upside/(Downside)	53.72%
Dividend Yield	6.7%
Total Return	**60.4%**

We arrive at a fair value of KES 27.67 per share, implying an upside potential of 53.7% from the introduction price of KES 18.00 per share. Consequently, we issue a BUY recommendation, supported by the significant discount to our estimated fair value.

Income Statement Projections;

PROJECTION:	FY26	FY27	FY28	FY29	FY30
Interest Income	**26.50**	**31.99**	**37.39**	**43.34**	**50.05**
Interest Expense	**9.00**	**10.79**	**12.45**	**14.39**	**16.54**
Net interest Income	**17.51**	**21.20**	**24.94**	**28.96**	**33.51**
Fees & commissions on loans	0.16	0.17	0.19	0.23	0.27
Other fees	2.87	3.28	3.64	4.29	5.00
FX trading income	0.40	0.48	0.57	0.69	0.82
Dividend income	0.00	0.00	0.00	0.00	0.00
Other Income	1.84	2.23	2.69	3.25	3.93
Net non-interest income	**5.27**	**6.16**	**7.10**	**8.46**	**10.02**
Total Operating income	**22.78**	**27.36**	**32.04**	**37.42**	**43.53**
Loan loss provsion	1.31	1.58	1.86	2.15	2.49
Staff Costs	6.21	7.16	8.25	9.51	10.97
Other operating expenses	7.76	9.05	10.60	12.19	14.18
Total Operating expenses	**15.28**	**17.80**	**20.71**	**23.86**	**27.64**
Profit before tax and exceptional items	**7.49**	**9.56**	**11.33**	**13.56**	**15.89**
Exceptional Items/Share from associates	0.0	0.0	0.0	0.0	0.0
Profit after exceptional item before tax	7.49	9.56	11.33	13.56	15.89
Current Tax	(2.2)	(2.9)	(3.4)	(4.1)	(4.8)
Profit after tax and exceptional item	**6.19**	**7.65**	**8.88**	**10.44**	**12.07**
Minority Interest	0.00	0.00	0.00	0.00	0.00
Profit/(Loss) After tax and Minority Interest	**6.19**	**7.65**	**8.88**	**10.44**	**12.07**
Profit After tax before exceptional items					
Dividends in Bns	2.5	2.99	3.49	3.99	4.49
Dividends per share	1.5	1.8	2.1	2.4	2.7

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